

1 Performance Level (LLE)

Synonyms

The term "Performance efficiency rate" is commonly used in the context of the piecework wage calculation.

Definition

The performance level is the measurement of performance used to calculate premium/incentive wages. It is the results from a target/actual comparison and is shown as a percentage.

Most of the time, you compare a target time with the actual time. The target time is usually specified in such a way that it doesn't exceeded by the actual time, so that the performance levels are normally above 100%. This is due to improve employee motivation. To say "I achieve more than 100%" is more motivating than saying "I have only achieved 90% of the target performance".

Performance level for piecework

The performance level is calculated in the classic piecework rate by putting the target time in relation to the actual time. Data for piecework calculation origin from the BDE personnel postings (B records). The "Wage calculation" generates from the BDE personnel postings valuated time tickets which include the performance efficiency rate.

$$performanceLevel = \frac{standardTime}{actualTime} \cdot 100\%$$

- The *actual time* in piecework depends on the basic settings for incentive wages. However, this is usually the proportionately calculated working time deduced from the logon of a person in the order data entry (B records). This is calculated proportionally for multiple machine operation. You can also use the basic settings for incentive wages to specify that the *actual time* for piecework is only made up of certain RPAs used for personnel postings.
- The target time column results from the single piece target t_e and the quantity as well as the setup time target t_r stored at the operation:
- $standardTime = \frac{quantity \cdot t_e}{1000} + t_r + bonuses$
- The t_e is usually listed in HYDRA in hours per thousand pieces [h/1000].

- The quantity is made up of the yield or yield + scrap, depending on the basic settings for incentive wages.
- The t_r is only offset if this is activated in the basic settings for *incentive wages*.
- The collected bonuses are added to each time ticket that matches the employee's personnel and order number on the date and, as a result, is totaled in the person's daily result.

The performance level is calculated for piecework time tickets and in the daily results of the persons.

A performance level is also calculated for time tickets with other time types if the required basic data is available. However, these performance levels only serve as information for the particular time tickets and are not included in further payroll accounting.

To correctly determine the target time for single piecework, the person-related collection of the produced quantities in the order data collection is a mandatory requirement. A quantity posting to the logged on persons takes place in HYDRA for the following terminal postings:

1. Log off a person from an order/workplace
2. Partial confirmations/uploads
3. Interrupting and completing orders:
 - 1) at group workplaces
 - 2) at individual workplaces: for the person who has been logged on for the longest time, but only if the option "Quantity posting to person" is activated when configuring the machine or workplace.If one of the two conditions is not fulfilled when interrupting or completing orders, the quantities are only posted to the operation, and it is not possible to determine the correct performance level for machine operators!

When using "Formula-based premium/ incentive wages", customer-specific formulas can result in different calculation methods for performance levels.

Performance level for group incentives

You can also calculate performance levels for group incentives. The [Calculation rules](#) depend on the type of group incentive.